whose outlook was judged quite bullish—ventured the opinion that certain stocks might be worth as much as 15 times their per-share earnings. After the 1929 crash, ratios were, of course, very much lower and, even as late as 1950, the price-earnings ratios of the stocks listed in the Dow-Jones industrial index averaged out to about 6:1.

Views on the price-earnings ratio underwent considerable revision in recent years. Some knowledgeable investors allowed that in a rapidly burgeoning economy, stocks of especially healthy companies might reasonably sell for as much as 20 times their per-share earnings. Other professional investors argued persuasively that when healthy companies had tangible assets with net, per-share replacement or liquidation values in excess of per-share prices, the importance of the price-earnings ratio would logically dwindle.

But few seasoned investors approved such situations as developed in 1960-1962, when frenzied buying drove prices so high that some issues were selling for more than 100

times their per-share earnings. In more than a few instances during the 1960-1962 period, staggering prices were paid for the stocks of companies that had only negligible assets, questionable potentials—and that hadn't shown much in the way of profits for a considerable time.

It has been suggested that the boom that began in 1960

was caused by people buying stocks as a hedge against inflation. If this is true, the insane inflation of certain common-stock prices was an extremely odd way to go about it. But the hedge theory appears even less valid when one remembers that buyers consistently ignored many fine stocks that, by any standards of measurement, were

underpriced and concentrated on certain issues,

continuing to buy them after their prices had soared out of sight. All evidence inclines the observer to believe that the great mass of non-professional buyers was obeying a sort of herd instinct, following the crowd